

Measuring Consumer Willingness to Participate in BEV Smart Charging Programs

Pingfan Hu, Brian Tarroja,
Matthew Dean, Kate Forrest,
Eric Hittinger, Alan Jenn,
John Paul Helveston



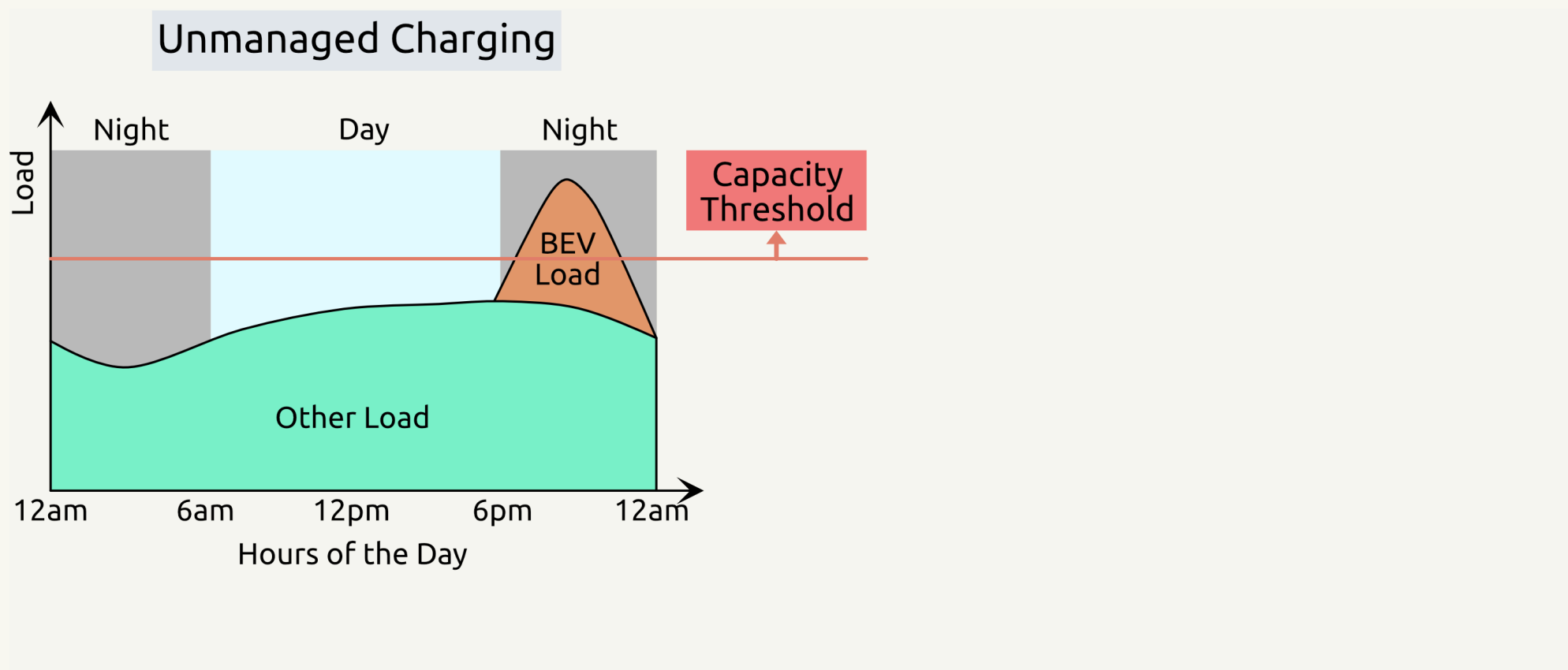
Introduction

- BEVs (Battery Electric Vehicles) can reduce CO_2 and prevent air pollution.
- But managing BEV charging can become a problem for the grid.
- Smart charging can help, but depends on user acceptance.



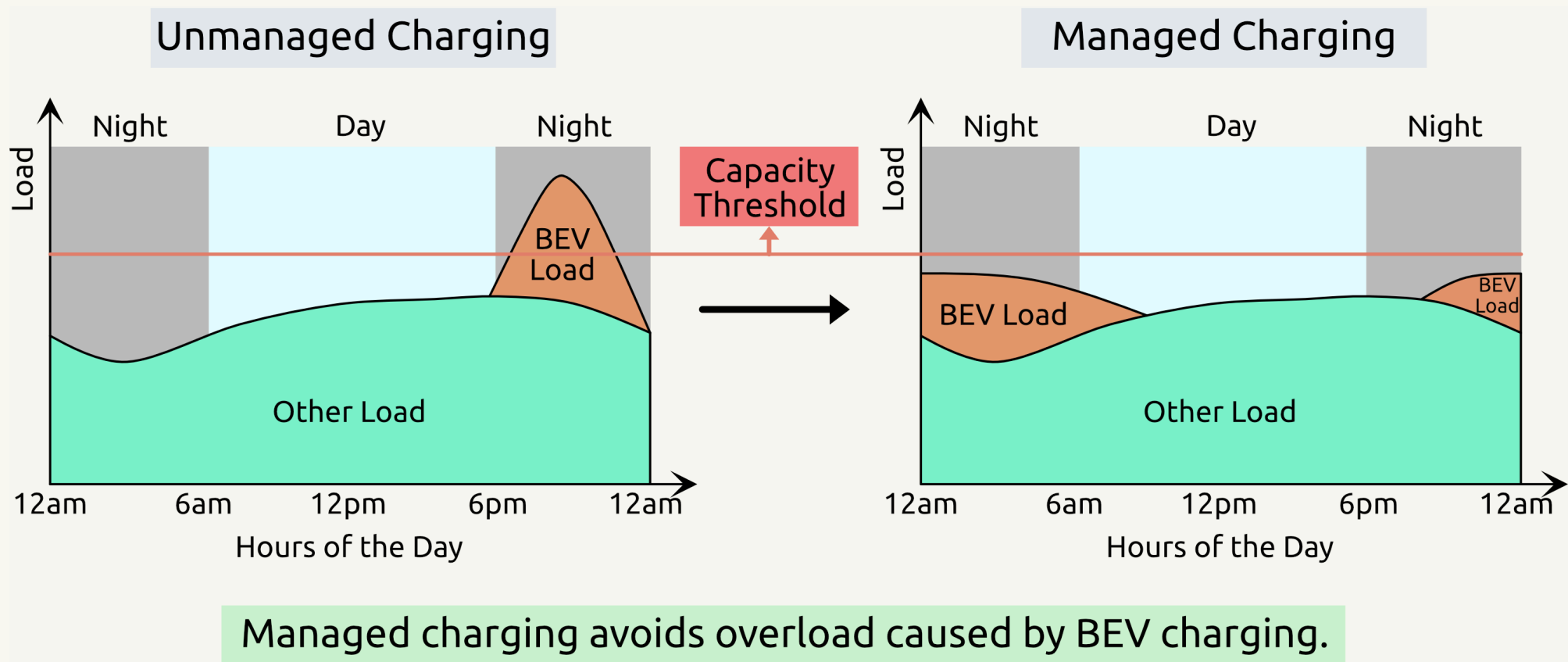
SMC - Supplier Managed Charging

- SMC smooths out overnight EV charging demand.
- Electricity demand is controlled below the capacity threshold.



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V2G - Vehicle-to-Grid

Non-V2G (Single Direction)

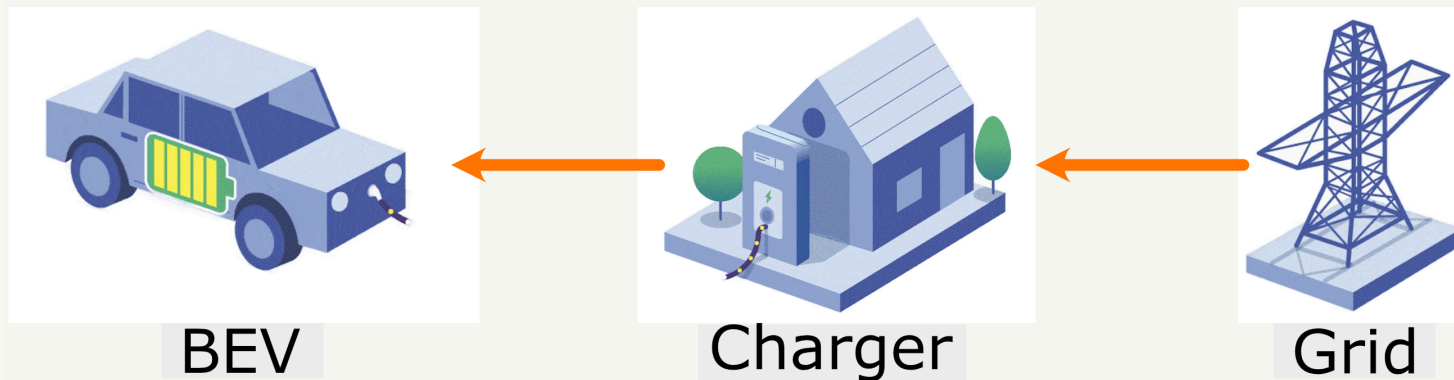
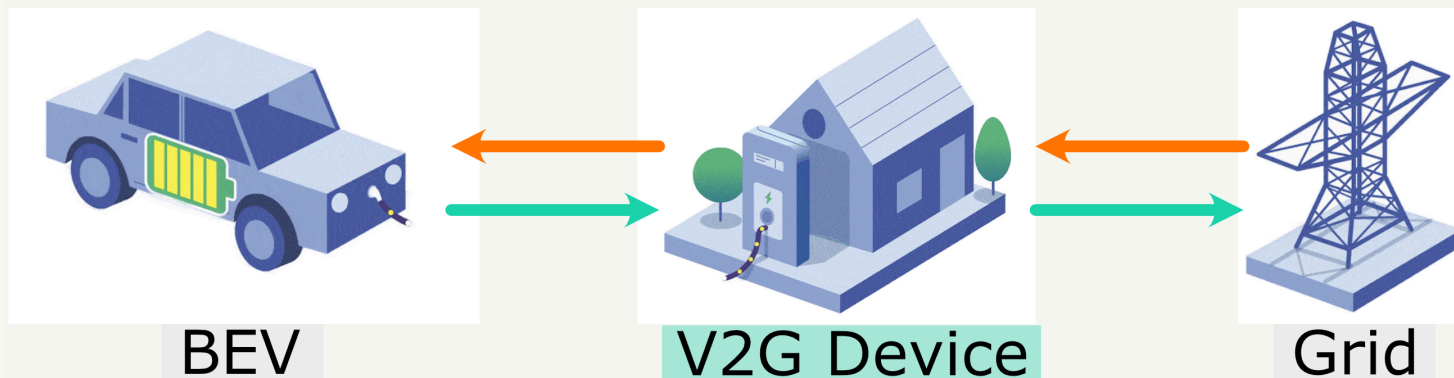


Figure Source: wri.org

V2G (Bi-direction)



In a V2G event, BEVs can charge the grid when necessary. BEVs are charged back eventually. Owners earn money.



Literature Review

1. A study by Wong et al. (2023) examined how **incentives** affect EV owners' acceptance, **but EV ownership is only 19%**.
2. A study by Philip and Whitehead (2024) found **range anxiety** matters, **but EV ownership is only 1.28%**.
3. Another study by Huang et al. (2021) indicates the importance of **fast charging**, **but the sample size is only 157**.

None of them have demographic data to study **heterogeneity**.

We need high EV ownership & a large sample size, and consider heterogeneity.



Research Questions

1. **Sensitivity:** How do changes in smart charging program features influence BEV owners' **willingness** to opt in?
2. **Market Share:** Under what **conditions** will BEV owners be more willing to opt in to smart charging programs?

Conjoint survey to collect BEV owners' willingness.

Mixed logit model to evaluate utilities for simulations.



Survey Design with formr

Survey Components

1. Conjoint Questions:

- a. Monetary Incentives
- b. Charging Limitations
- c. Flexibility

2. Demographic Questions:

- a. BEV Ownership & Usage
- b. Personal & Household Info

Conjoint Attributes Sample

No.	Attributes	Range
1	Enrollment Cash	\$50 to \$300
2	Monthly Cash	\$2 to \$20
3	Monthly Override	0 to 5
4	Min Battery	20% to 40%
5	Guaranteed Battery	60% to 80%



Conjoint Question Explained

A Sample Conjoint Question

For example, if these were the only apples available, which would you choose? *

Option 1	Option 2	Option 3
		
Type: Fuji	Type: Pink Lady	Type: Honeycrisp
Price: \$ 2 / lb	Price: \$ 1.5 / lb	Price: \$ 2 / lb
Freshness: Average	Freshness: Excellent	Freshness: Poor

1. You are provided with different **sets** of attributes.
2. You choose one **set** instead of one **attribute**.

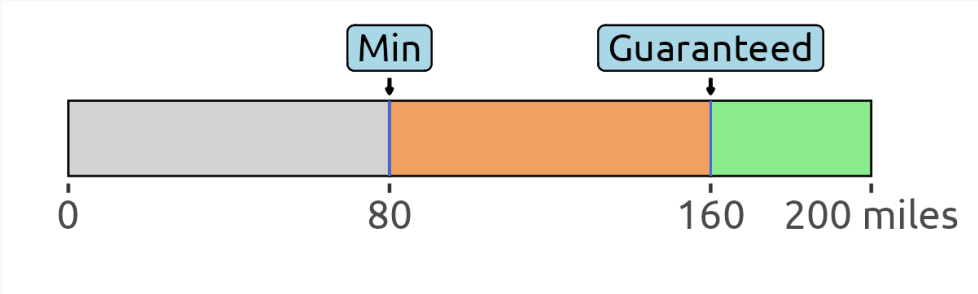


SMC Programs

Attributes

No.	Attributes	Range
1	Enrollment Cash	\$50 to \$300
2	Monthly Cash	\$2 to \$20
3	Monthly Override	0 to 5
4	Min Battery	20% to 40%
5	Guaranteed Battery	60% to 80%

Sample Program

Attributes	Values
Enrollment Cash	\$300
Monthly Cash	\$20
Monthly Override	5
	



V2G Programs

Attributes

No.	Attributes	Range
1	Enrollment Cash	\$50 to \$300
2	Occurrence Cash	\$2 to \$20
3	Monthly Occurrence	1 to 4
4	Lower Bound	20% to 40%
5	Guaranteed Battery	60% to 80%

Sample Program

Attributes	Values
Enrollment Cash	\$300
Occurrence Cash	\$20
Monthly Occurrence	1

0 80 160 200 miles

Min

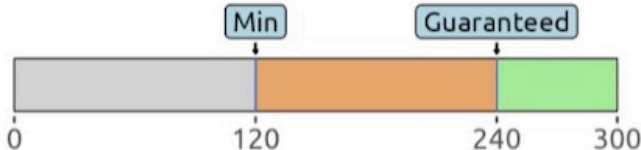
Guaranteed



Sample SMC Question

(1 of 6) If your utility offers you these 2 SMC programs, which one do you prefer?
(Your BEV has maximum range of **300** miles.)

[Access the SMC Attributes](#)

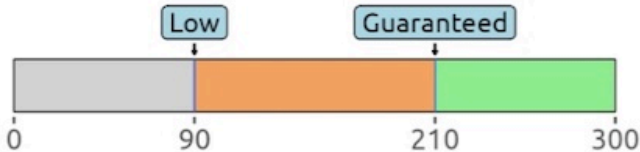
Option 1	Option 2	Option 3
Enrollment Cash: \$100 Monthly Cash: \$20 Override Allowance: 1 per Month Battery Thresholds (in Miles):  A horizontal bar representing a 300-mile range. It is divided into three segments: a grey segment from 0 to 60 miles, an orange segment from 60 to 240 miles, and a green segment from 240 to 300 miles. A blue box labeled 'Min' points to the 60-mile mark, and a blue box labeled 'Guaranteed' points to the 240-mile mark.	Enrollment Cash: \$200 Monthly Cash: \$10 Override Allowance: 1 per Month Battery Thresholds (in Miles):  A horizontal bar representing a 300-mile range. It is divided into three segments: a grey segment from 0 to 120 miles, an orange segment from 120 to 240 miles, and a green segment from 240 to 300 miles. A blue box labeled 'Min' points to the 120-mile mark, and a blue box labeled 'Guaranteed' points to the 240-mile mark.	Not Interested



Sample V2G Question

(1 of 6) If your utility offers you these 2 V2G programs, which one do you prefer?
(Your BEV has maximum range of **300** miles.)

[Access the V2G Attributes](#)

Option 1	Option 2	Option 3
Enrollment Cash: \$100 Occurrence Cash: \$5 Monthly Occurrence: 2	Enrollment Cash: \$100 Occurrence Cash: \$20 Monthly Occurrence: 2	
Battery Thresholds (in Miles): 	Battery Thresholds (in Miles): 	Not Interested



Survey Fielding

Meta: Facebook, Messenger, Instagram - **Voluntary**

- Fielding from March to July in 2024
- 803 results after filtering

Dynata: Survey Panel - **Payment to real BEV owners only**

- Fielding from September to November in 2024
- 553 results after filtering



Facebook



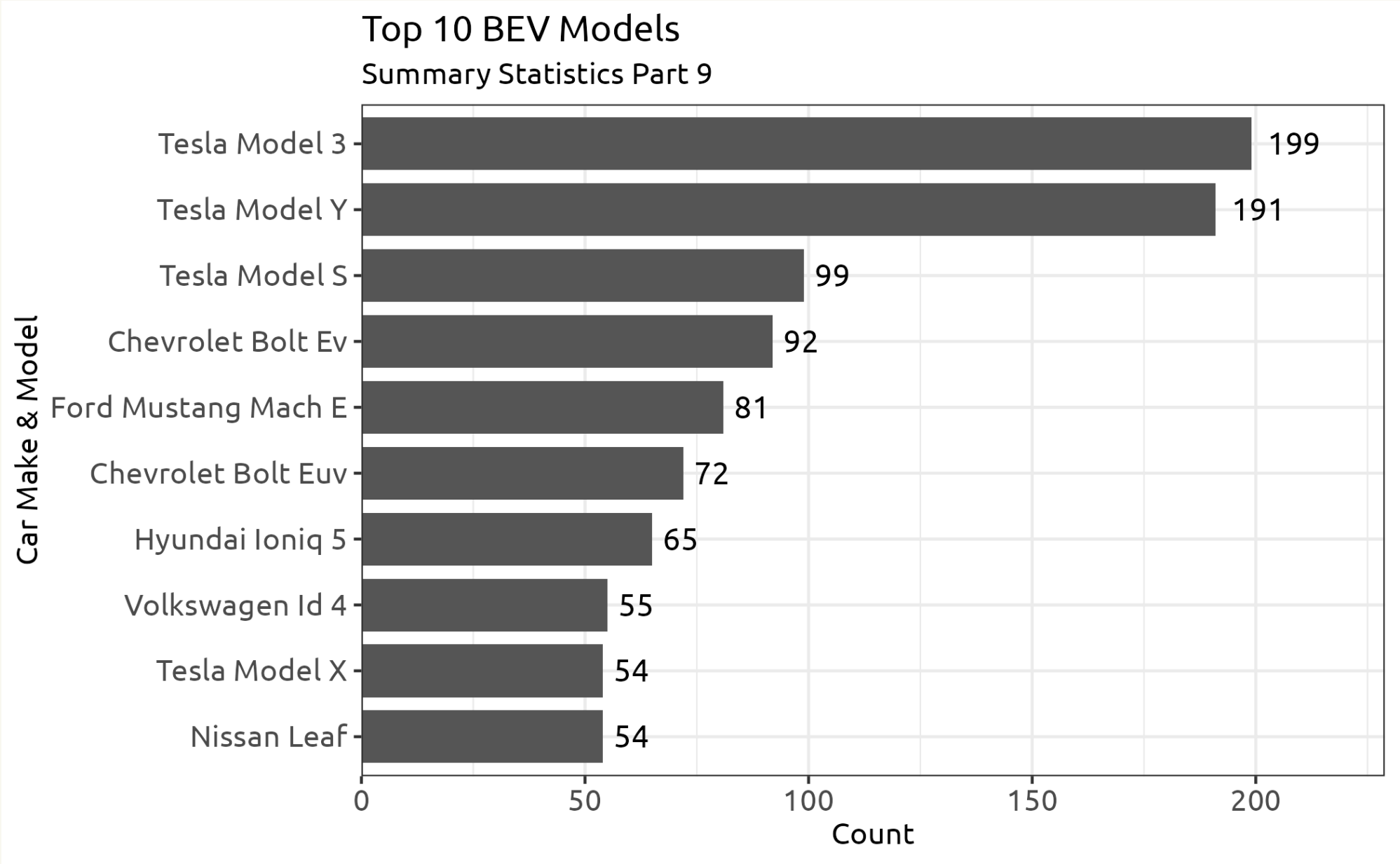
Messenger



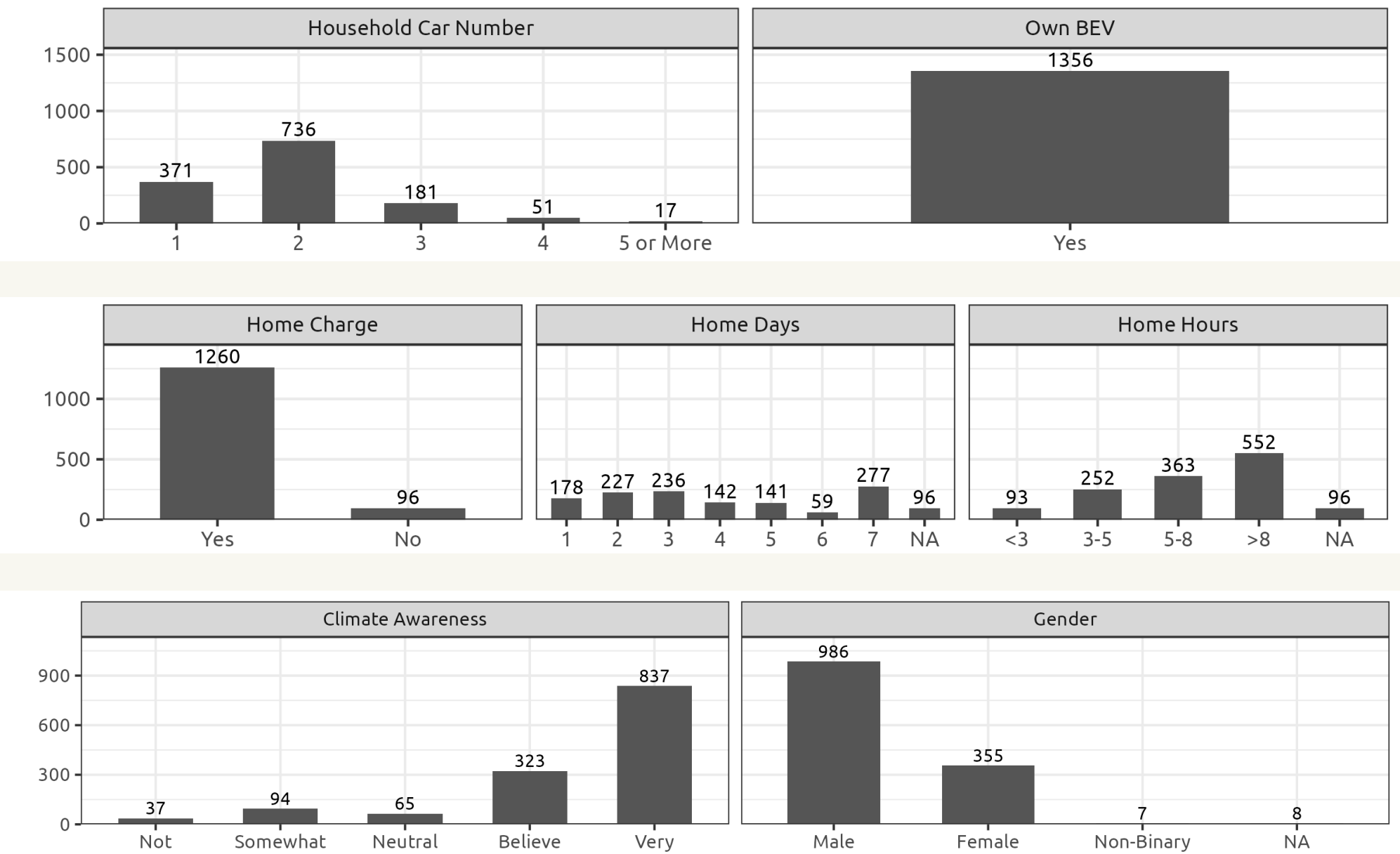
Instagram



Survey Results - Top 10 BEV



Survey Results - Demographics

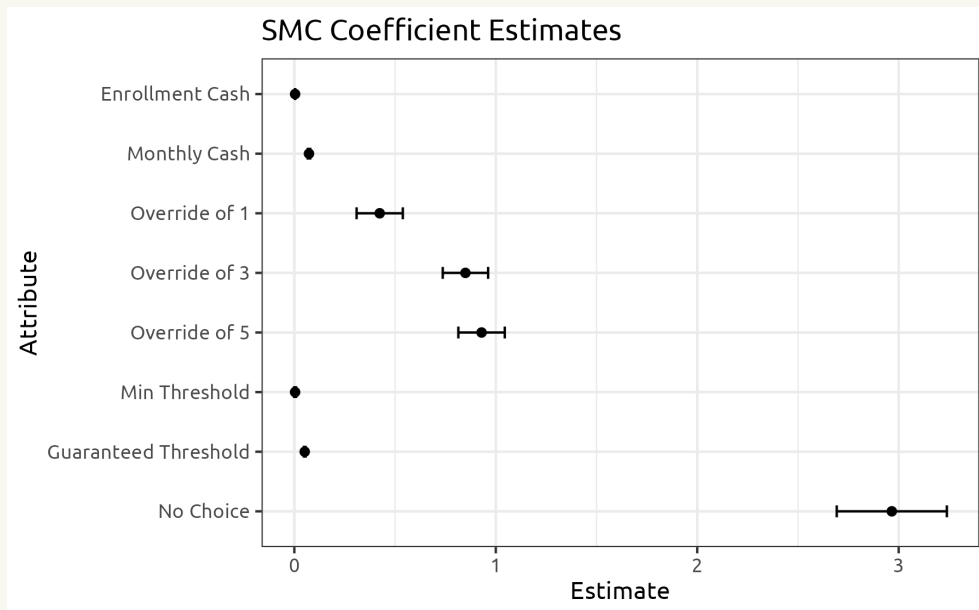


Survey Results - Willingness to Participate

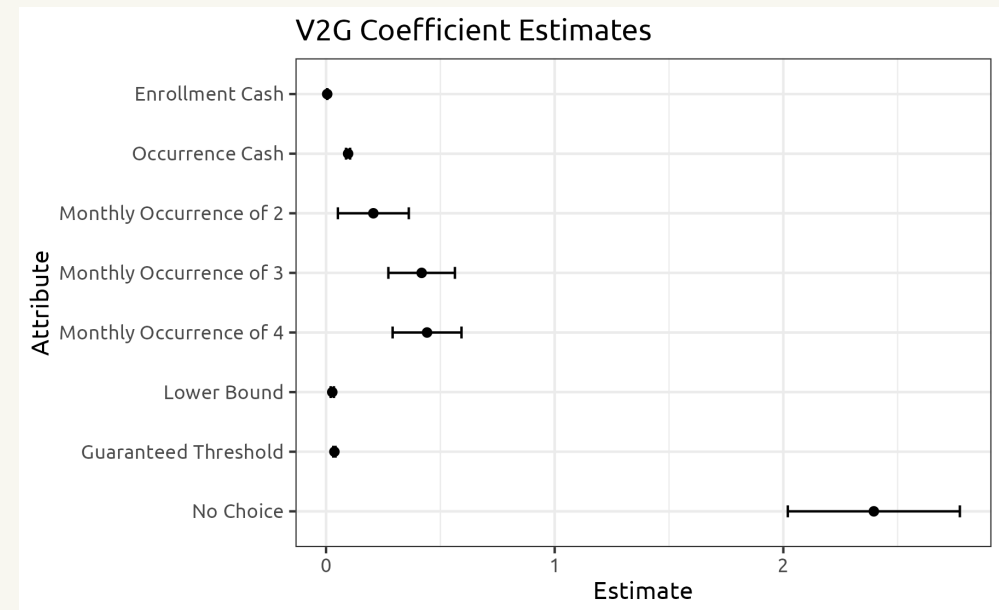
Mixed Logit Models

$$u_j = v_j + \epsilon_j = \beta'x + \epsilon_j \quad P_j = \frac{e^{v_j}}{\sum_{k=1}^J e^{v_k}}$$

SMC Estimates



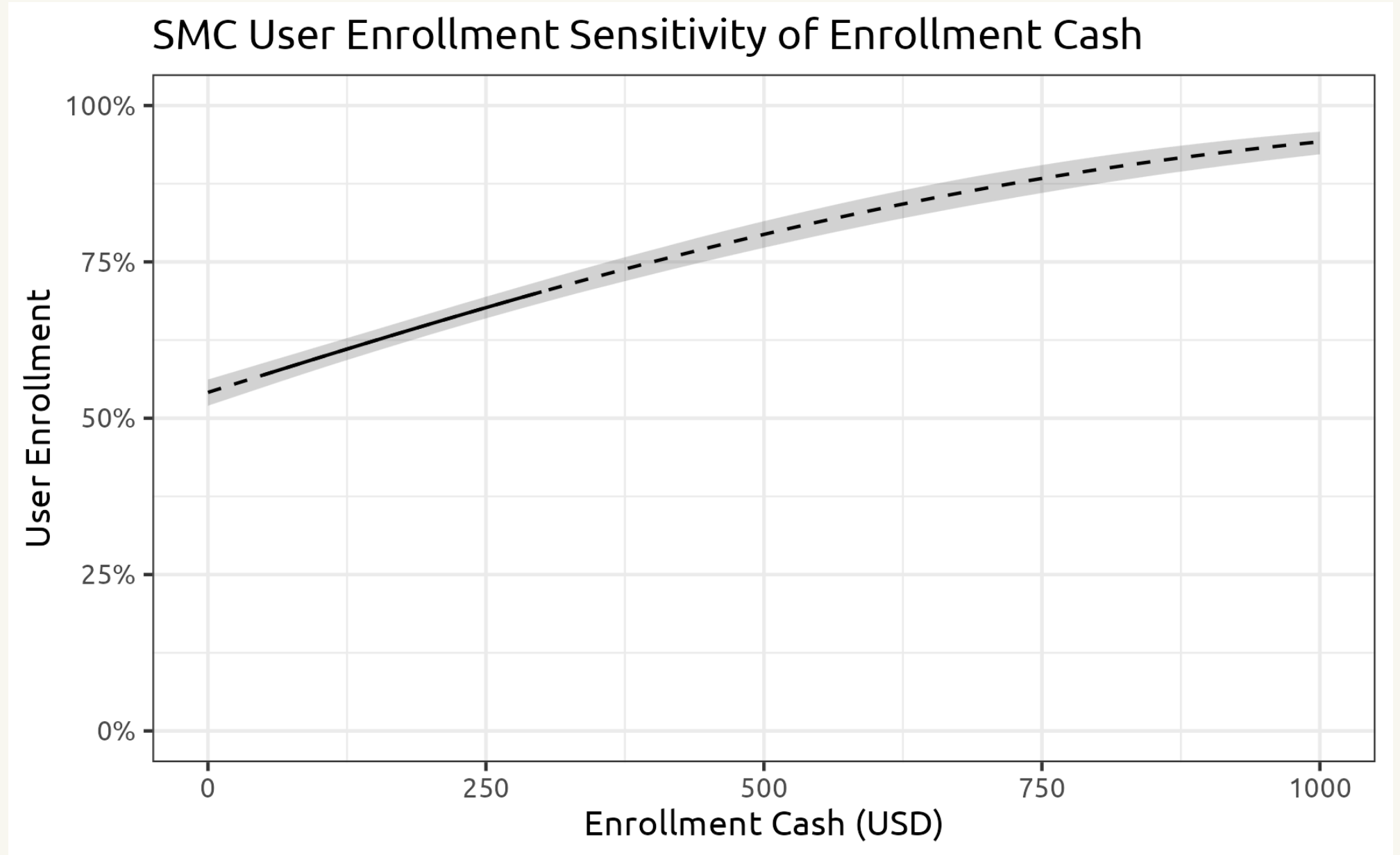
V2G Estimates



Without compensation, users will not participate.

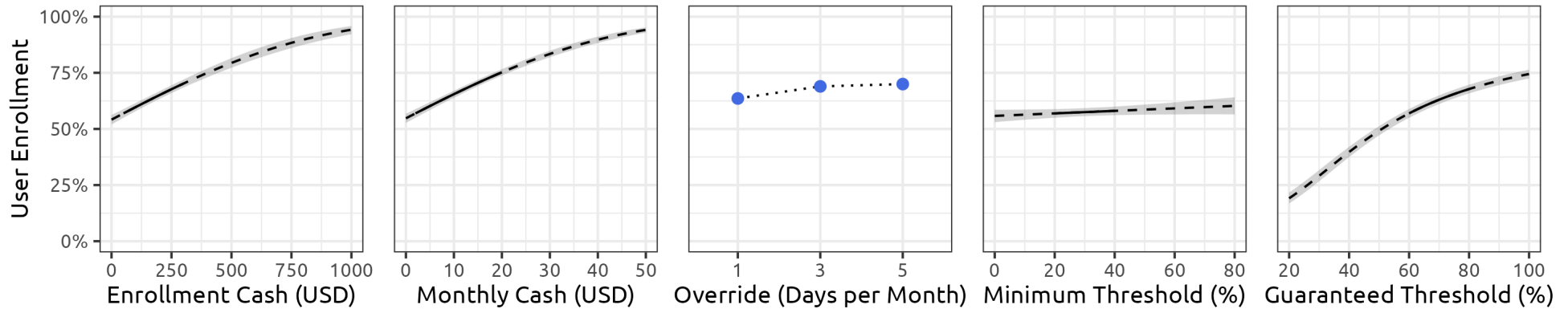


Enrollment Sensitivity

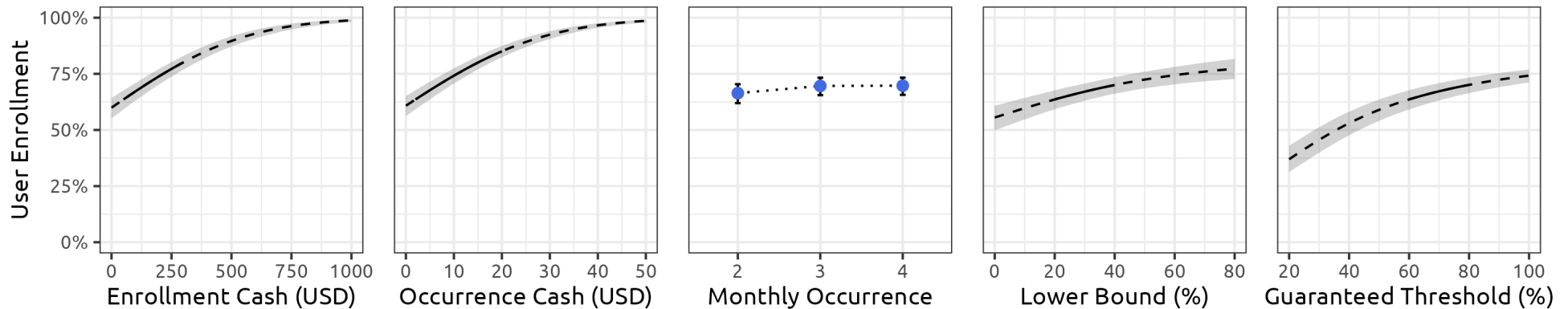


Enrollment Sensitivity

SMC Enrollment Sensitivity Plots



V2G Enrollment Sensitivity Plots

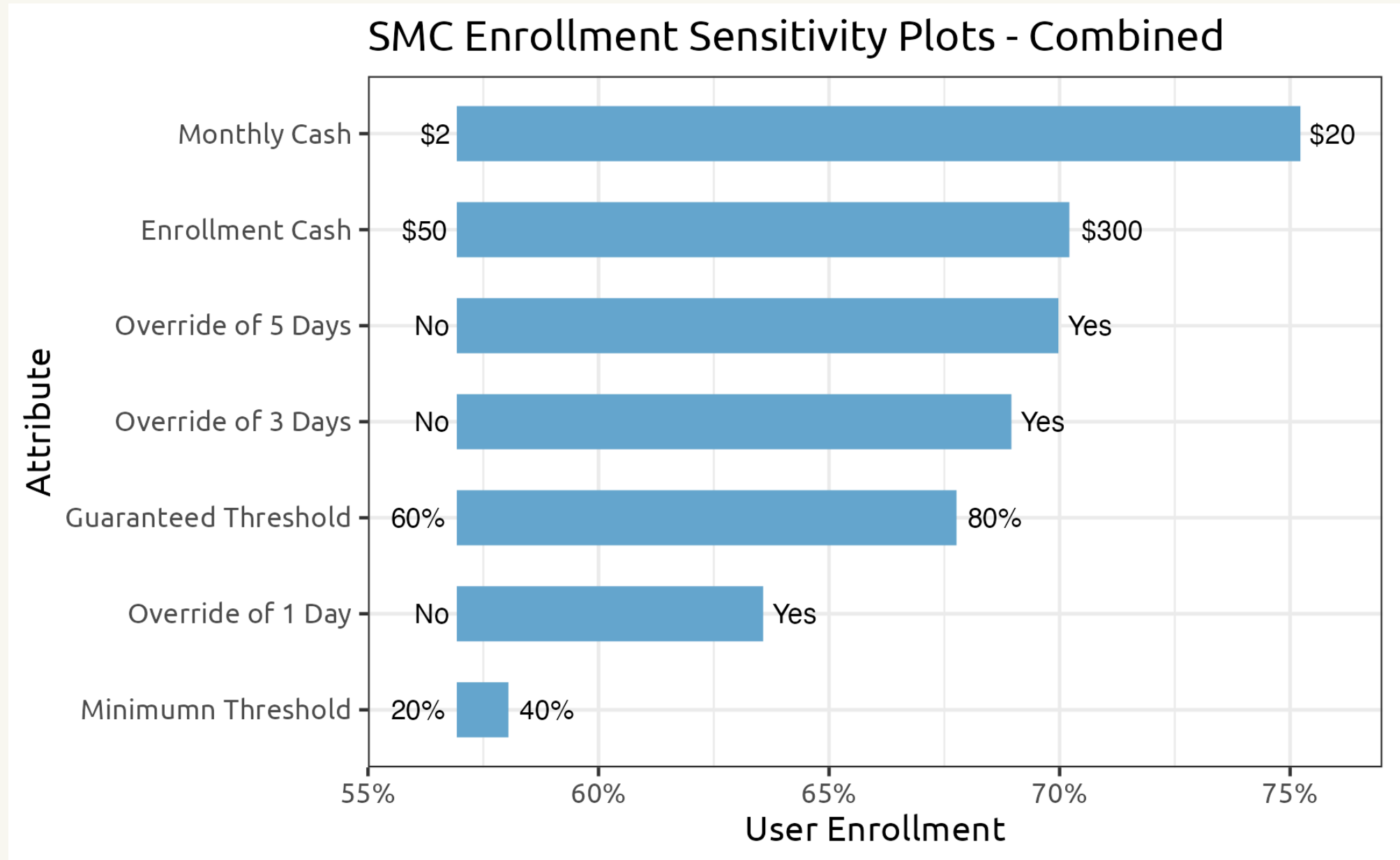


Steeper slope indicates higher sensitivity.



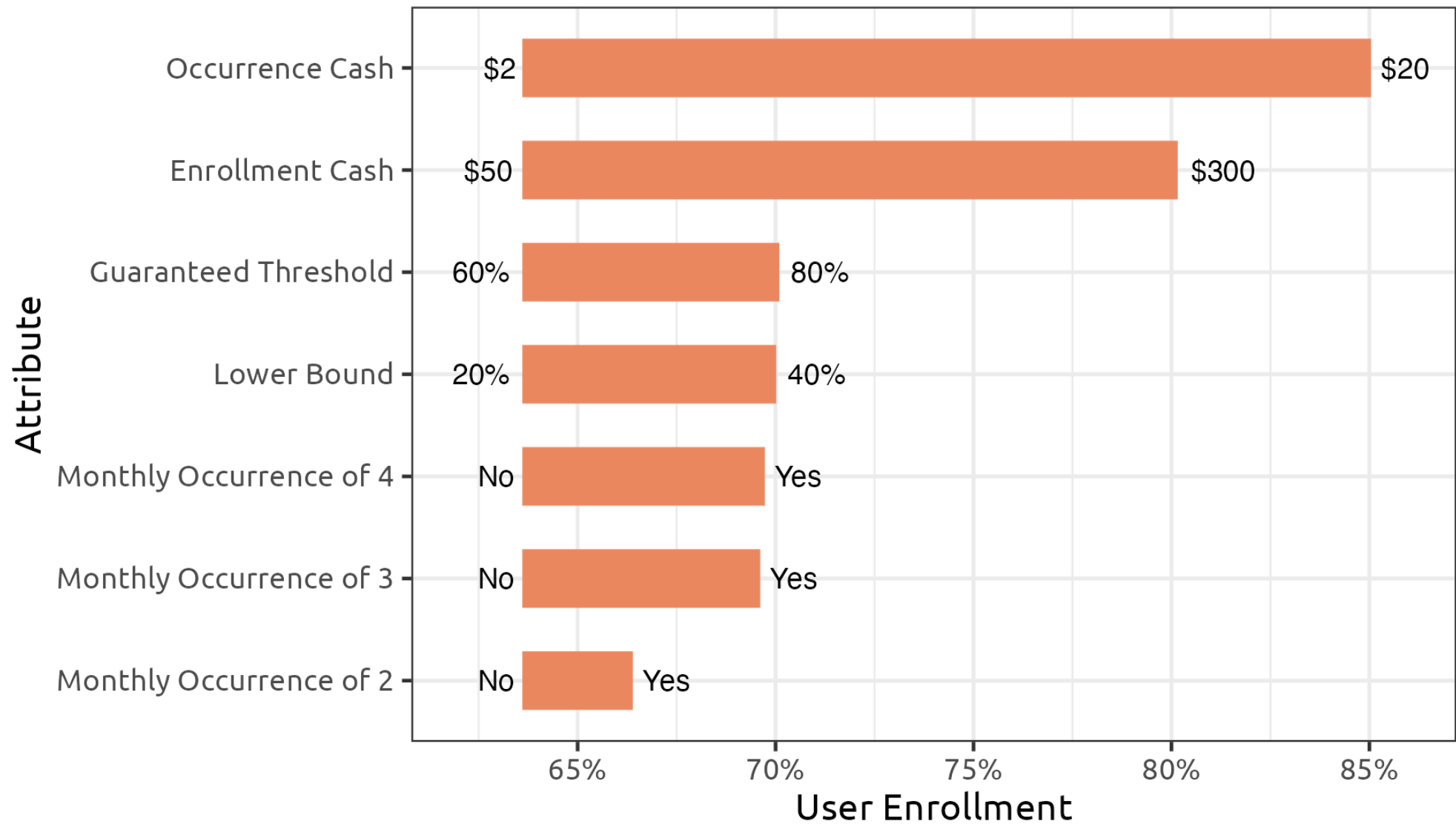
Enrollment Sensitivity Combined - SMC

20

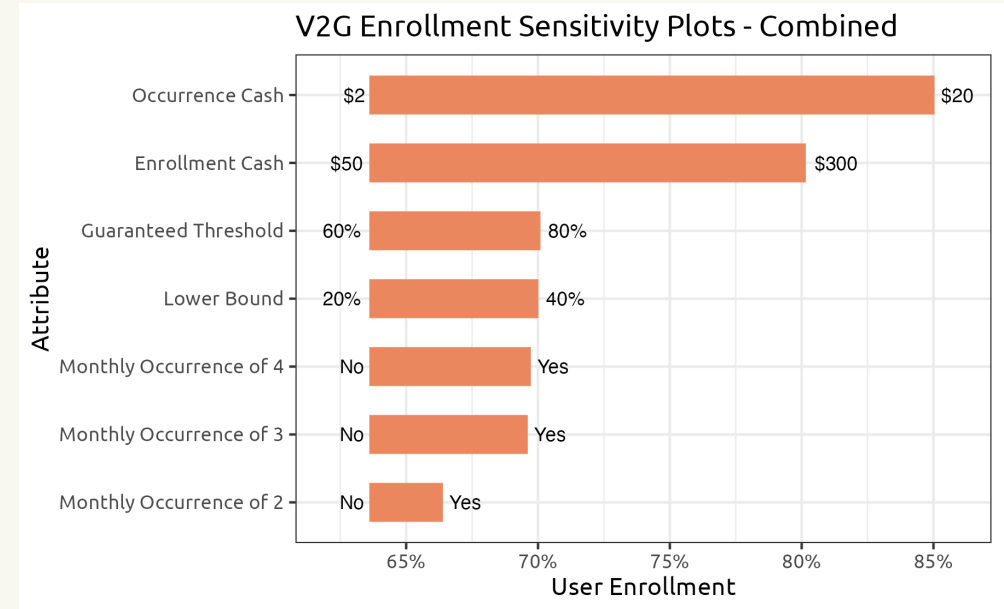
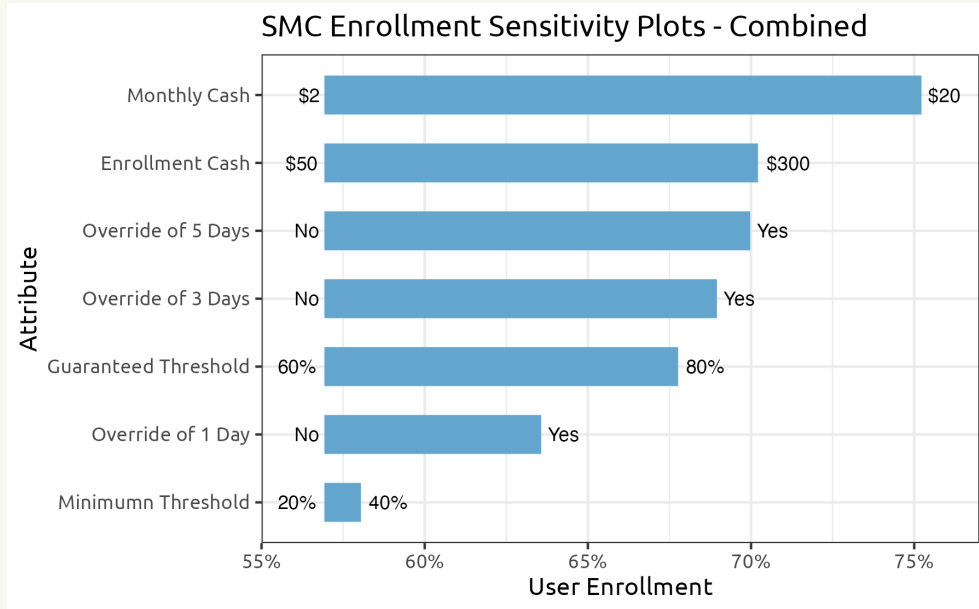


Enrollment Sensitivity Combined - V2G

V2G Enrollment Sensitivity Plots - Combined



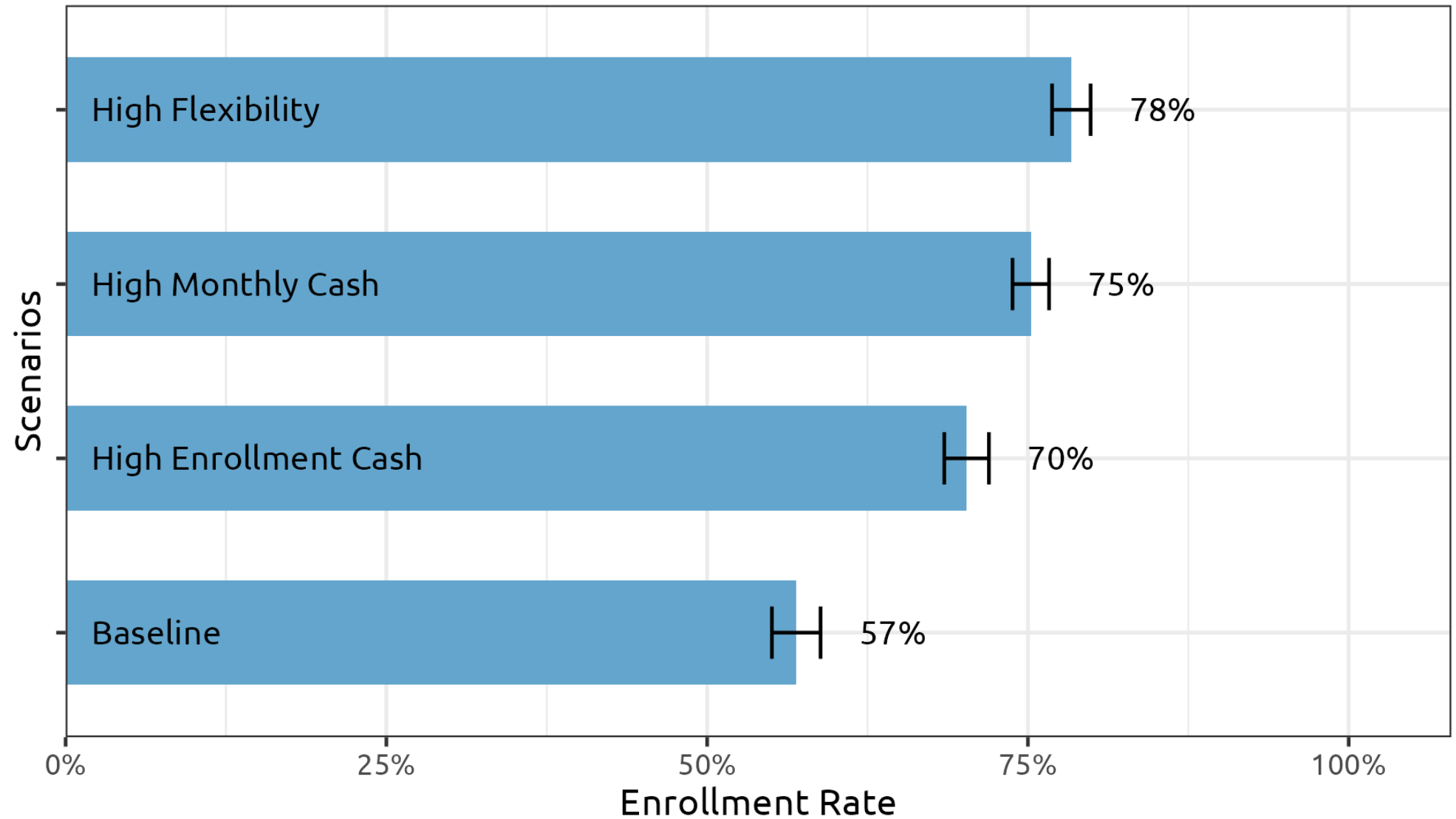
Enrollment Sensitivity Combined - Summary



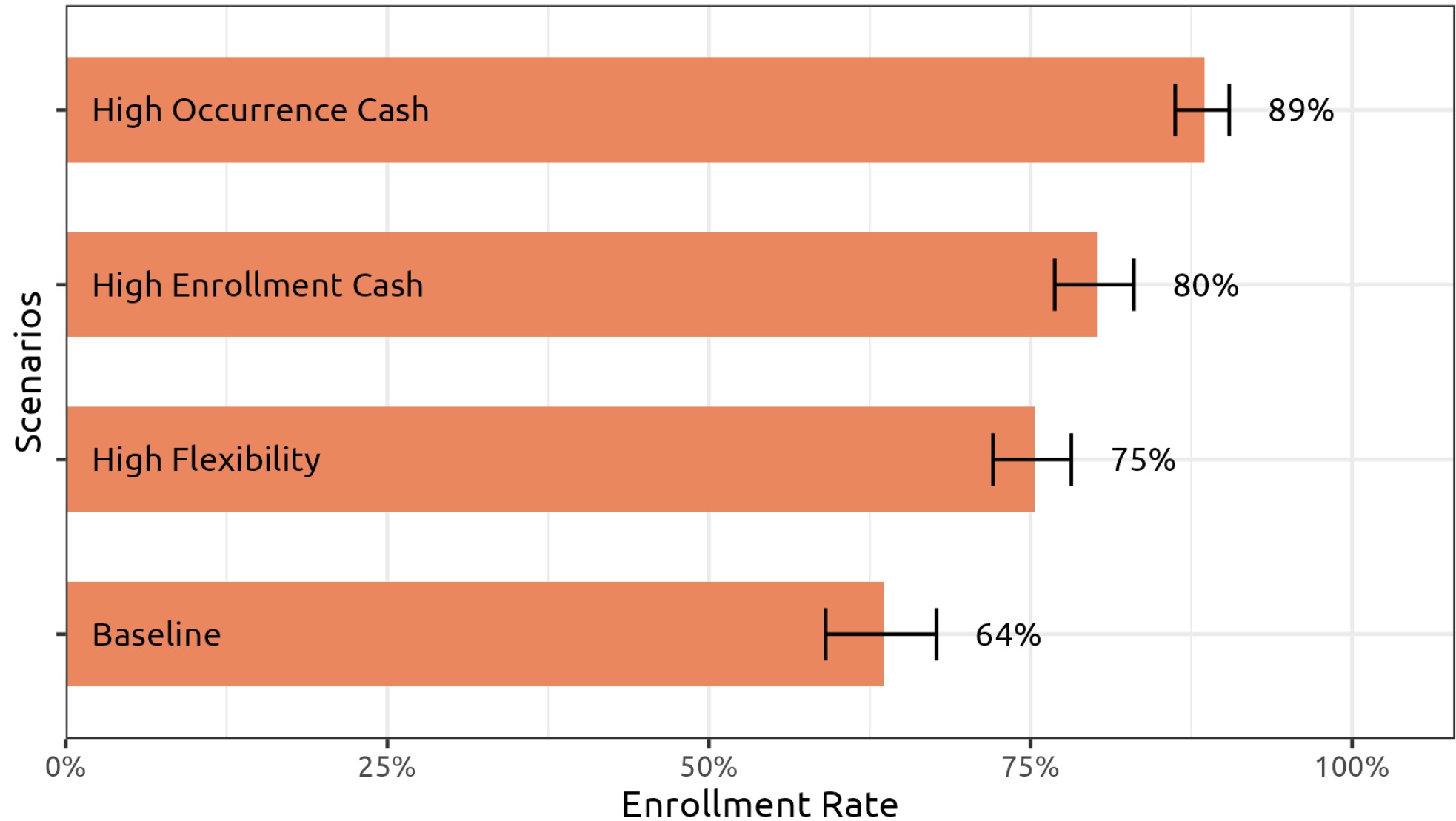
1. **Monetary** incentives are important.
2. **Recurring** incentives are more important than one-time ones.
3. For SMC, **range anxiety** is vital, since it happens regularly.
4. For V2G, usability is compromised.
5. Diminishing returns exist.



SMC Market Simulations



V2G Market Simulations



Reference List

- Huang, Bing, Aart Gerard Meijssen, Jan Anne Annema, and Zofia Lukszo. 2021. “Are Electric Vehicle Drivers Willing to Participate in Vehicle-to-Grid Contracts? A Context-Dependent Stated Choice Experiment.” *Energy Policy* 156 (September): 112410. <https://doi.org/10.1016/j.enpol.2021.112410>.
- Philip, Thara, and Jake Whitehead. 2024. *Consumer Preferences Towards Electric Vehicle Smart Charging Program Attributes: A Stated Preference Study*. Rochester, NY. <https://doi.org/10.2139/ssrn.4812923>.
- Wong, Stephen D., Susan A. Shaheen, Elliot Martin, and Robert Uyeki. 2023. “Do Incentives Make a Difference? Understanding Smart Charging Program Adoption for Electric Vehicles.” *Transportation Research Part C: Emerging Technologies* 151 (June): 104123. <https://doi.org/10.1016/j.trc.2023.104123>.

